Financial Appendix

(Platform Investment)

Love's Roster Card AI Modernization

Document Type:	Financial Appendix - Platform Investment Analysis
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Prepared For:	CFO, Finance Leadership, IT Leadership
Net Incremental Investment:	$5,450,000 over 24 months
Platform Capacity Expansion:	$1,750,000
AI Capabilities:	$700,000 (AI Core $400K + Claude API $300K)
Expected Annual Return:	$7.3M (Conservative: $3.9M | Optimistic: $10.4M)
Revised ROI:	134% (Expected case)
Revised Payback Period:	9.0 months

Investment Overview

This project requires **$5.45M over 24 months** to modernize Roster Card with AI capabilities and expand platform capacity to support Love's enterprise operations.

Investment Components:

- Platform capacity expansion: $1.75M
- AI capabilities: $700K (AI Core GPU compute + Claude API)
- Implementation services: $1.05M
- Training & change management: $530K
- Data integration & infrastructure: $650K
- AI model development: $590K
- Project management: $180K

Expected Returns: $7.3M annual operational value (134% ROI, 9-month payback).

I. Net-New Platform Licensing Required

Incremental Licensing Costs

COMPONENT	BUSINESS JUSTIFICATION	ANNUAL COST	24-MONTH TOTAL
Data Platform Capacity Expansion	Enterprise data platform capacity for AI inference and real-time analytics at scale	$875K/yr	$1,750K
SAP AI Core GPU Compute	ML model training & inference at enterprise scale (predictive alerts, scheduling optimization)	$200K/yr	$400K
Anthropic Claude API (AI Gateway)	Natural language AI for manager queries with prompt caching optimization	$150K/yr	$300K
TOTAL INCREMENTAL LICENSING (24 months)			$2,450K

Note: Platform capacity expansion ($1.75M over 24 months) provides enterprise-scale data platform capacity to support AI inference, real-time analytics, and predictive workloads across all Love's locations.

II. Existing SAP Entitlements Leveraged

Source: Love's SAP PIT (Products in Transit) Report, March 2026

Already Owned - No Incremental License Cost

COMPONENT	MATERIAL ID	ANNUAL COST (ACTIVE)	CAPACITY	STATUS
Cloud Platform Enterprise Agreement	60005050	$1,666,571/yr	Unlimited BTP runtime	✅ Sufficient capacity
SAP Datasphere (Current Platform)	60018592	$1,444,754/yr	Enterprise data platform	✅ Current license active
SAP AI Unit (AI Core base)	6001592	$698/yr	Base allocation only	⚠️ Need GPU compute upgrade ($400K)
Joule AI base entitlement	6019344	$0	Included with BTP	✅ Sufficient for NL queries
SuccessFactors Employee Central	6005137	$726,748/yr	85,000 licenses	✅ Source of HR data
SuccessFactors Workforce Analytics	6005142	$147,688/yr	42,500 licenses	✅ Existing reporting foundation
TOTAL EXISTING ANNUAL SPEND		$7,040,648/yr	Already budgeted & paid	

Enterprise Data Platform

- **Current platform:** $1.44M/yr (Material 60018592)
- **Expanded platform capacity:** $2.31M/yr
- **Net incremental investment:** $875K/yr ($1.75M over 24 months)
- **Delivers:** AI inference capacity, real-time analytics, predictive workloads at enterprise scale

III. Total Program Investment

Summary by Phase

PHASE	TIMELINE	PHASE INVESTMENT	CUMULATIVE
Phase 1: Foundation & Pilot	Months 1-4	$1,225K	$1,225K
Phase 2: Compliance & Scheduling AI	Months 5-8	$1,090K	$2,315K
Phase 3: Regional Rollout	Months 9-14	$1,450K	$3,765K
Phase 4: National Scaling	Months 15-20	$1,185K	$4,950K
Phase 5: Advanced AI Innovation	Months 21-24	$500K	$5,450K
TOTAL PROGRAM	24 months	$5,450K	-

Investment by Category

COST CATEGORY	24-MONTH TOTAL	% OF TOTAL
Platform Capacity Expansion	**$1,750K**	32%
AI Capabilities (AI Core + Claude API)	**$700K**	13%
TOTAL LICENSING	**$2,450K**	**45%**
Implementation Services (SAP Consulting)	**$1,050K**	19%
Training & Change Management	**$530K**	10%
Data Integration & Infrastructure	**$650K**	12%
AI Model Development & Enhancement	**$590K**	11%
Project Management & PMO	**$180K**	3%
TOTAL PROGRAM INVESTMENT	**$5,450K**	**100%**

IV. Return on Investment

Financial Metrics

METRIC	VALUE
Conservative Annual Return	$3.9M
Expected Annual Return	$7.3M
Total Program Investment (24 months)	$5.45M
ROI (Conservative)	72% ($3.9M / $5.45M)
ROI (Expected)	134% ($7.3M / $5.45M)
Payback Period	9.0 months (($5.45M / $7.3M) × 12)
NPV (5 years, 10% discount)	$22.2M
IRR (Internal Rate of Return)	131%

Investment Summary

Total investment: $5.45M over 24 months to generate $7.3M in annual operational value

- **9-month payback:** Project fully recovered by Month 11
- **5-year NPV: $22.2M** at 10% discount rate
- **Risk-adjusted return:** Conservative case (72% ROI) exceeds typical IT investment hurdles

Internal Use Only - Financial Planning

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Revised March 30, 2026: *Total investment of* ***$5.45M over 24 months*** *includes platform capacity expansion ($1.75M), AI capabilities ($700K), and implementation services ($3.0M). Generates* ***$7.3M annual return (134% ROI, 9-month payback)****.*